CANADA BREAD COMPANY, LIMITED

FIRST QUARTERLY REPORT

1998





CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

The Company has changed its quarterly reporting periods to four 13 week quarters. As a result, the first quarter 1998 earnings represent 13 weeks of operations, whereas the first quarter 1997 historical results represent 12 weeks of operations. In order to allow an appropriate comparison of first quarter results, comparative amounts reflecting this change have been shown as Pro Forma in the attached statements of earnings.

Pro Forma sales for the quarter of $119 million compare to $121 million last year, reflecting some softness in fresh bakeries. Restructuring of the regional bakeries into one, combined with some business disruption during our route franchising efforts in Western Canada, has affected sales volumes and profitability. It is anticipated that these short term issues will be resolved and result in improved returns by the third quarter.

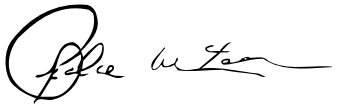
After a special charge of $14.4 million ($9.4 million after tax) the Company recorded a net loss for the quarter of $6.9 million ($0.32 per share). The special charge relates to the costs of centralization and asset realignment. Net earnings before these unusual items were $2.5 million ($0.12 per share) compared to $7.2 million ($0.34 per share) last year. Excluding the special charge and the 1997 gain on the sale of Brooklyn Bagel Boys, net earnings of $2.5 million ($0.12 per share) compare to $3.2 million ($0.15 per share) in 1997.

The Company has a very strong balance sheet, with very little debt. These restructuring initiatives will give the Company a solid foundation for future growth.

The Company declared a quarterly dividend of $0.06 per share, payable July 2, 1998, to shareholders of record on June 15, 1998.

For the Board of Directors,





David H. Lees /s/
President and Chief Executive Officer

Archibald D. McLean /s/
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts) (Unaudited)	13 WEEKS ENDED March 28, 1998	12 WEEKS ENDED March 22, 1997	13 WEEKS Pro-Forma 1997
Sales	**$118,993**	**$111,557**	**$120,869**
Earnings from operations, before unusual items	**3,209**	**4,400**	**4,979**
Unusual items	(14,401)	0	0
Earnings (loss) from operations	**(11,192)**	**4,400**	**4,979**
Other Income	884	784	784
Gain on sale of business	0	6,300	6,300
Earnings (loss) before interest and taxes	**(10,308)**	**11,484**	**12,063**
Interest expense	466	309	341
Earnings (loss) before income taxes	**(10,774)**	**11,175**	**11,722**
Income taxes	(3,854)	4,014	4,212
Earnings (loss) before minority interest	**(6,920)**	**7,161**	**7,510**
Minority interest	(4)	(4)	(5)
Net earnings (loss) for the period	**($6,924)**	**$7,157**	**$7,505**
Earnings (loss) per share	**($0.32)**	**$0.34**	**$0.35**
Dividends per share declared	**$0.06**	**$0.06**	**$0.06**
Weighted average number of shares (millions)	**21.4**	**21.3**	**21.3**

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars) (Unaudited)	13 WEEKS ENDED March 28, 1998	12 WEEKS ENDED March 22, 1997
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings (loss) for the period	($6,924)	$7,157
Add (deduct) items not affecting cash:		
Depreciation	3,914	3,410
Amortization	668	534
Equity earnings from an associated company	(850)	(825)
Minority interest	4	4
Gain on sale of business	0	(4,000)
Non-cash amounts included in unusual items	9,423	0
Changes in non-cash working capital	(12,663)	(5,180)
	(6,428)	1,100
FINANCING ACTIVITIES		
Increase in share capital	309	432
Dividends paid	(1,283)	(1,280)
Dividends paid to minority interest	0	(14)
Increase in (repayment of) long-term debt	10,254	(17,445)
Repayment of debt to parent company	0	(3,531)
	9,280	(21,838)
INVESTING ACTIVITIES		
Additions to property and equipment, net	(3,184)	(7,789)
Disposal of net assets of businesses	0	29,929
	(3,184)	22,140
Net increase (decrease) in cash for the period	**(332)**	**1,402**
Bank indebtedness, beginning of period	(5,581)	(4,791)
Bank indebtedness, end of period	**($5,913)**	**($3,389)**

CONSOLIDATED BALANCE SHEETS

(In thousands of Canadian dollars) (Unaudited)	As at March 28, 1998	As at March 22, 1997
ASSETS		
Current assets:		
Accounts receivable	$37,761	$41,293
Due from related company	7,246	5,091
Inventories	13,746	15,603
Income taxes recoverable	6,105	0
Prepaid expenses	2,616	3,625
	67,474	65,612
Investment in associated company	**45,973**	**43,293**
Property and equipment	**159,442**	**133,935**
Goodwill	**77,644**	**80,396**
	$350,533	**$323,236**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$5,913	$3,389
Accounts payable and accrued charges	57,228	60,893
Dividends payable	1,285	1,283
Income taxes payable	0	1,885
Current portion of long-term debt	197	187
	64,623	67,637
Long-term debt	**41,126**	**22,996**
Deferred income taxes	**20,179**	**20,766**
Minority interest	**96**	**72**
Shareholders' equity	**224,509**	**211,765**
	$350,533	**$323,236**